

5-2f National Competitive Advantage of Industries

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theory of national competitive advantage of industries (A theory that suggests that the competitive advantage of certain industries in different nations depends on four aspects that form a “diamond.”)

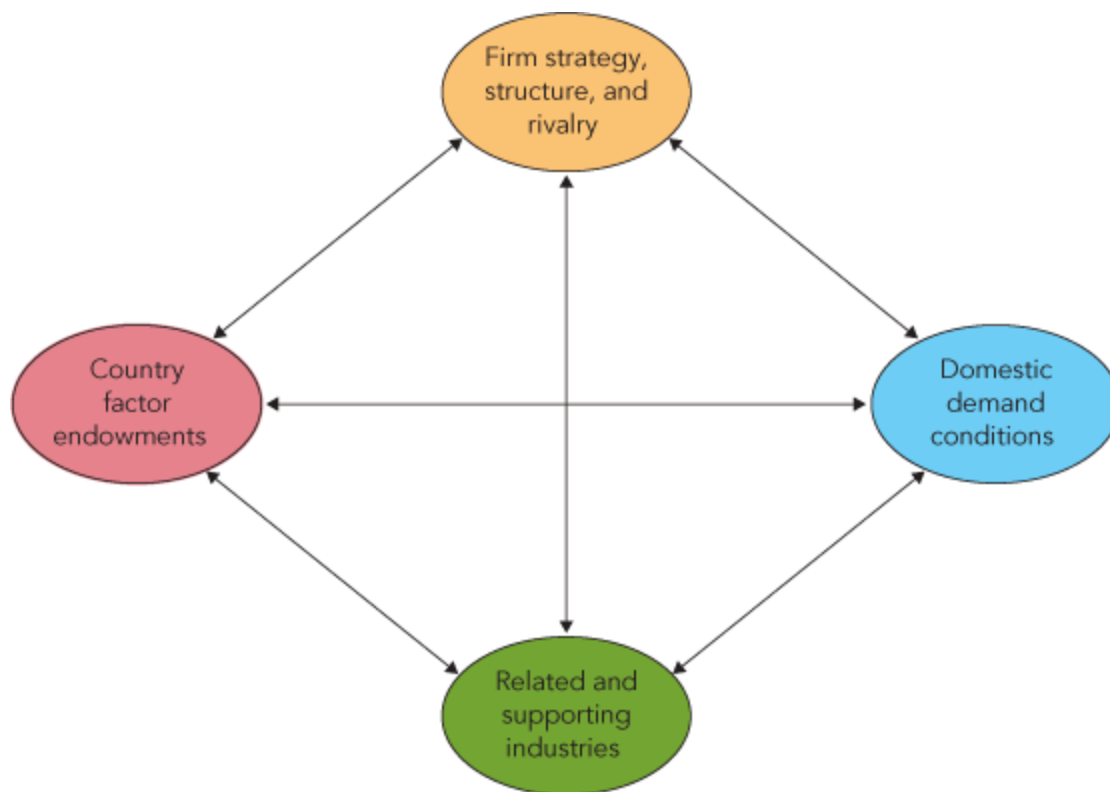
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“diamond” theory (A theory that suggests that the competitive advantage of certain industries in different nations depends on four aspects that form a “diamond.”)

because its principal architect, Harvard strategy professor Michael Porter, presents it in a diamond shaped diagram (Figure 5.6). This theory focuses on why certain *industries* (but not other industries) within a nation are competitive internationally. For example, while the Japanese automobile industry is a global winner, the Japanese service industry is notoriously inefficient. Porter is interested in finding out why.

Figure 5.6

National Competitive Advantage of Industries: The Porter Diamond



Source: M. Porter, 1990, The competitive advantage of nations (p. 77), *Harvard Business Review*, March–April: 73–93. Reprinted with permission.

Porter argues that the competitive advantage of certain industries in different nations depends on four aspects that form a “diamond.” First, he starts with factor endowments,

which refer to the natural and human resource repertoires noted by the Heckscher-Ohlin theory. Some countries (such as Saudi Arabia) are rich in natural resources but short on population, and others (such as Singapore) have a well-educated population but few natural resources. Not surprisingly, Saudi Arabia exports oil, and Singapore exports semiconductors (which need abundant skilled labor). While building on these insights from previous theories, Porter argues that factor endowments are not enough.

Second, tough domestic demand propels firms to scale new heights. Why are American movies so competitive worldwide? One reason is that American moviegoers demand the very best “sex and violence” (two themes that sell universally if artfully packaged). Endeavoring to satisfy such domestic demand, movie studios unleash *High School Musical 3* after *High School Musical* and *High School Musical 2*, and *Spider-Man 3* after *Spider-Man* and *Spider-Man 2*—each time packing more excitement. In another example, strong domestic demand to care for an aging and shrinking population in Japan motivates firms to innovate with new technology that can better take care of the elderly. Panasonic is testing a bed that can be converted into a wheel chair for the permanently bedridden. Overall, abilities to satisfy a tough domestic crowd may make it possible to successfully deal with less-demanding overseas customers.

Third, domestic firm strategy, structure, and rivalry in one industry play a huge role behind its international success or failure. One reason that a number of Chinese manufacturing industries are so competitive globally—coining the term the “China Price”—is because their *domestic* rivalry is probably the most intense in the world (see the [Opening Case](#)). Think of appliances, cell phones, furniture, and pianos. The price wars keep everyone lean, and most firms struggle to make a profit. However, the few top firms (such as Xiaomi in smartphones and Pearl River in pianos) that win the tough competition domestically may have a relatively easier time when venturing abroad because overseas competition is less demanding.

Finally, related and supporting industries provide the foundation upon which key industries can excel. In the absence of strong related and supporting industries, such as engines, avionics, and materials, a key industry such as aerospace cannot become globally competitive. Each of these related and supporting industries requires years (and often decades) of hard work. For instance, emboldened by the Airbus experience, Chinese, Korean, and Japanese governments poured money into their own aerospace industry. Eventually, they all realized that Europe’s long history and excellence in a series of crucial related and supporting industries made it possible for Airbus to succeed. A lack of such related and supporting industries made it unrealistic for an aerospace industry to take off.

Overall, Porter argues that the dynamic interaction of these four aspects explains what is behind the competitive advantage of leading industries in different nations. This theory is the first *multilevel* theory to realistically connect firms, industries, and nations, whereas previous theories only work on one or two levels. However, it has not been comprehensively tested. Some critics argue that the “diamond” places too much emphasis on domestic conditions. The recent rise of India’s IT industry suggests that its international success is not entirely

driven by domestic demand, which is tiny compared with overseas demand—it is overseas demand that matters a lot more in this case.

Chapter 5: Trading Internationally: 5-2f National Competitive Advantage of Industries

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